

have even said to the broker, “Just get me stock! Just get me stock!” And something clicked. I have been here before. I have seen this.

What explains the extremely low volatility of your track record versus most other event-driven funds?

You have to be able to cut your position. I’ll never accept anybody saying they can’t cut a position.

How did you manage to completely sidestep downside volatility in 2007 and 2008?

In 2007, we got rid of anything that was directional or long dated and put almost all our money in short duration risk arbitrage—deals that we felt were almost certain to close and that had very wide spreads because of the market volatility. The ability of these companies to close their transactions had not been degraded by what was happening in the world. The only risk I saw was that something might happen that would cause the prime brokers to change margin requirements, which would force us to liquidate. I thought the only way that would happen would be if there was some more major market distress. To hedge against this possibility, I bought out-of-the-money puts on the S&P and sold out-of-the-money calls to pay for the puts. If the market went sideways or up, we would do very well because of our core portfolio. If the market went down suddenly, we still felt our core portfolio would hold up, and the puts would provide protection against a change in margin requirements.

In 2008, the world had changed. Volatility quadrupled. I decided we should trade a fraction of what we used to trade. Most people didn’t do that and got blown up.

Was there anything that triggered your cutting exposure?

We had a good month, then another very good month, and started the next month very strong. Then two days later, we were down for the month. And nothing had happened. I could just smell that we had to cut our positions. We took off 75 percent of our exposure.

So you didn’t gradually cut your exposure in 2008?

Oh, no. I don’t believe in this idea, *We will sell 25 percent of our position and then think about it.*